Preliminary Report: Financial Analysis and Risk Assessment of Green Solutions Manufacturing Ltd.

Executive Summary

Green Solutions Manufacturing Ltd. demonstrated a material improvement in financial performance in 2023. Revenue increased by 70.7% to £53.8m, while EBITDA increased by 269.8% to £5.5m and EBITDA margin improved from 4.7% to 10.3%. Operating cash flow also increased by 92.6% to £11.4m. Debt-servicing capacity strengthened significantly, with EBITDA net interest cover improving from 2.08x to 17.53x and the leverage metric declining from 7.82x to 1.24x. Net worth increased by 34.5% to £31.0m.

However, the stronger operating performance is accompanied by increased investment requirements. Capital expenditure increased by approximately 147% to £8.0m, resulting in free cash flow remaining negative at approximately -£8.0m. Cash declined by 9.3% to £17.6m and the current ratio reduced from 1.88x to 1.38x. These movements indicate that short-term liquidity and the funding of the sustainability investment programme should remain key areas of monitoring. Overall, the financial analysis indicates stronger operating performance and debt-servicing capacity, alongside increased liquidity and investment-related funding risks.

Financial Analysis

Revenue and Profitability

Revenue increased by 70.7%, from £31.5m in 2022 to £53.8m in 2023. Cost of sales increased by 61.5%, which was slower than revenue growth and supported an improvement in gross profit of 105.2%, from £6.6m to £13.6m. Gross margin consequently improved from approximately 21.0% to 25.3%.

Operating profit increased by 227.1%, from £2.0m to £6.5m, with operating margin increasing from approximately 6.3% to 12.1%. EBITDA increased by 269.8%, from £1.5m to £5.5m, and EBITDA margin more than doubled from 4.7% to 10.3%. PBT increased by 449.6% to £6.3m, while PAT increased by 554.8% to £5.6m. The improvement in profitability is therefore broad-based and indicates stronger earnings capacity.

Assets and Liabilities

Total assets increased by 19.2%, from £52.1m to £62.1m, with non-current assets increasing by 37.8%. This is consistent with continued investment in operating capacity and sustainability-related assets. Cash decreased by 9.3% to £17.6m, while inventory increased by 40.4% to £5.8m, representing additional working-capital investment.

Total liabilities increased by 7.5%, from £28.4m to £30.5m, which was slower than asset growth. Equity increased by 34.5%, from £23.1m to £31.0m, while retained earnings moved from a deficit of £5.4m to a positive £0.3m. The balance sheet therefore shows a stronger equity position, although the increase in current liabilities and inventory should be monitored in conjunction with liquidity.

Cash Flow

Net cash generated from operating activities increased by 92.6%, from £5.9m to £11.4m, demonstrating materially stronger cash generation from core operations. This improvement is supportive of debt-servicing capacity.

At the same time, capital expenditure increased from approximately £3.2m to £8.0m, an increase of about 147%, consistent with the company's ongoing sustainability and capacity investment programme. Free

cash flow therefore remained negative and deteriorated from approximately -£3.2m to -£8.0m. Financing cash flow was also negative in 2023 at £5.2m, with debt repayments of £14.2m exceeding new debt issuance of £8.9m. The key cash-flow consideration is therefore whether the company's stronger operating cash generation can sustainably support the planned investment programme without creating additional funding pressure.

Key Financial Ratios

Profitability Ratios

Profitability strengthened materially during 2023. EBITDA margin increased from 4.7% to 10.3%, an improvement of approximately 5.5 percentage points, while operating margin increased from 6.3% to 12.1%, an improvement of approximately 5.8 percentage points. The significant increase in these margins, together with the 269.8% increase in EBITDA, indicates stronger profitability and operating efficiency.

Leverage and Liquidity Ratios

Debt-servicing capacity improved significantly. EBITDA net interest cover increased from 2.08x to 17.53x, while the leverage metric declined from 7.82x to 1.24x. These movements indicate a substantially stronger relationship between operating earnings and debt obligations under the project's methodology.

Liquidity, however, weakened. The current ratio declined from 1.88x to 1.38x, while the quick ratio declined from approximately 1.49x to 1.00x using the workbook methodology. Although current assets remained above current liabilities, the reduction in the liquidity cushion warrants monitoring, particularly given the company's negative free cash flow and elevated capital expenditure.

Risk Assessment

Key Financial Risks

1. Investment and funding risk: Capital expenditure increased by approximately 147% to £8.0m, while free cash flow remained negative at approximately -£8.0m. Continued investment may therefore require a combination of internally generated cash and external funding.

2. Liquidity risk: Cash declined by 9.3% and the current ratio fell from 1.88x to 1.38x. The quick ratio also reduced to approximately 1.00x, indicating a narrower buffer against short-term obligations.

3. Working-capital risk: Inventory increased by 40.4%, while current liabilities increased materially. The ability to convert working capital into cash should be monitored as the business continues to expand.

4. Execution risk: The sustainability investment programme is increasing the company's capital requirements. The expected financial returns and cash-flow benefits from these investments should be assessed before further credit exposure is increased.

These risks should be considered alongside the material improvements in profitability, operating cash generation, interest coverage and leverage.

Actionable Insights

• Monitor liquidity and cash conversion closely, including current and quick ratios, inventory movements and operating cash flow.
• Assess the sustainability investment programme against projected cash flows, expected returns and future funding requirements.
• Maintain focus on debt-servicing capacity by monitoring interest cover, leverage and scheduled debt

maturities.
• Review the drivers of the significant increase in capital expenditure and determine whether the investment profile is expected to remain elevated.
• Obtain updated cash-flow forecasts and funding plans to assess whether planned investment can be funded without placing undue pressure on liquidity.
• Incorporate industry, macroeconomic, regulatory and competitive considerations into the next stage of the credit review before reaching a final credit recommendation.

Conclusion

The 2023 results show a substantial strengthening in Green Solutions Manufacturing Ltd.'s operating and financial performance. Revenue, profitability and operating cash generation increased materially, while interest coverage and leverage improved significantly. The balance sheet also strengthened through higher equity and net worth.

The principal areas requiring further assessment are liquidity and the funding of the company's investment programme. Higher capital expenditure has resulted in negative free cash flow, while cash and liquidity ratios have declined. Accordingly, the preliminary assessment is that the company has demonstrated stronger operating and debt-servicing capacity, but the sustainability and funding requirements of its investment programme should be examined further through cash-flow forecasts, industry analysis and review of proposed credit terms.

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Date: 22th September'24